

On the economics of flipping subscription journals

Cite as: Martin Paul Eve, "On the economics of flipping subscription journals", *eve.gd: Martin Paul Eve*, March 11, 2017, <https://doi.org/10.59348/pktjk-v9189>.



One of the most pleasing, but also most difficult, parts of running the [Open Library of Humanities](#) is bringing new journals onto the platform.

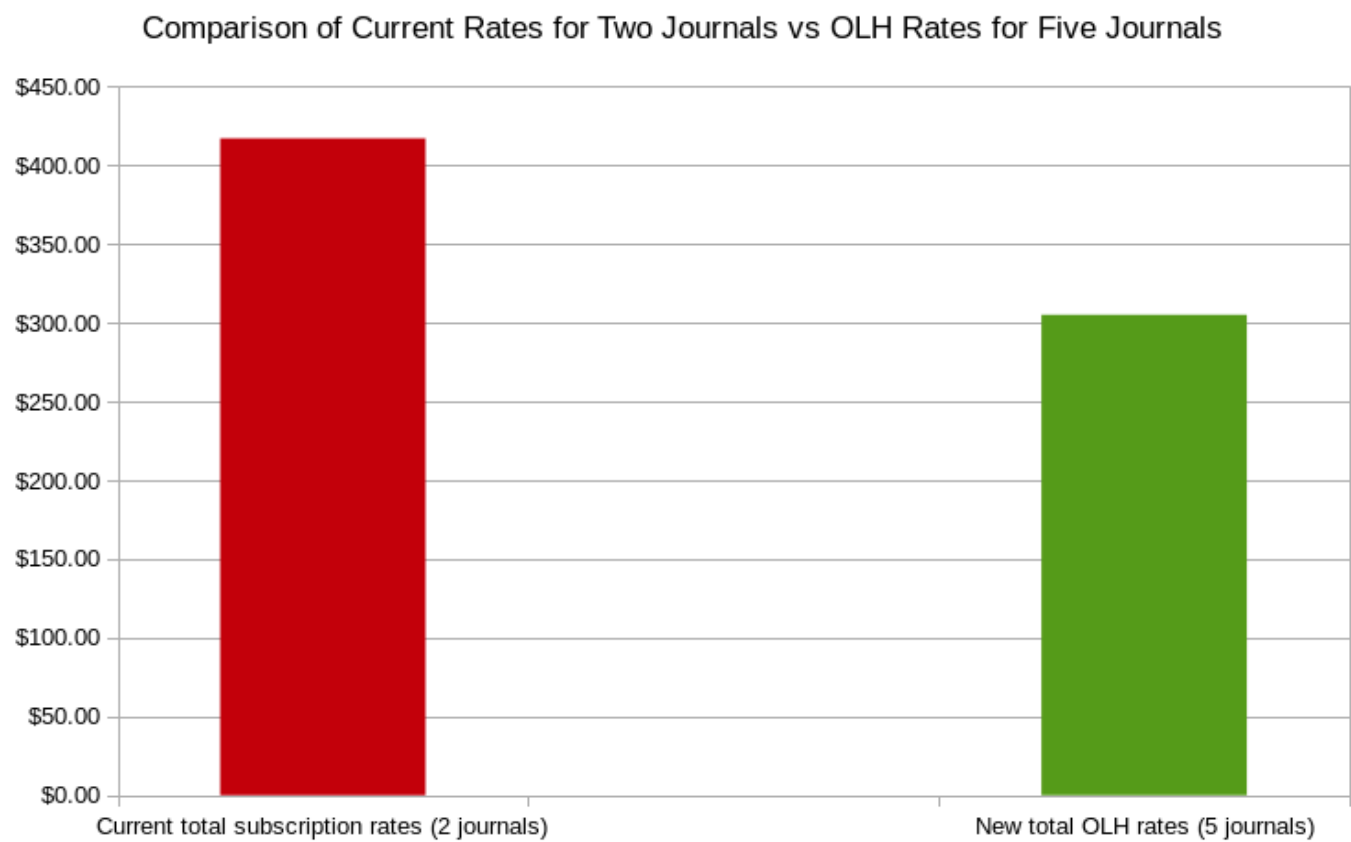
This is pleasing because these are often subscription publications or society journals that will benefit from open access with no author fees. It's also really great when we can develop university press partnerships to expand our model.

It's difficult because we have to be ultra-selective. We reject about 75% of journals that come to us on grounds of quality, economics, or fit with our current list. (Economic considerations are the primary reason here.) This causes substantial pain, especially since applying editors often seem to feel it is acceptable to be extremely rude to us when we politely rebuff them. This is despite the fact that they are essentially asking us and our libraries to pay their publishing costs indefinitely. I do wonder whether they would also hurl such abuse at other funders/publishers.

In any case, one of the really hard things is to work out what an acceptable rate of growth is for our library consortium and to attempt to build offsetting into our expansion plans. The essential logic that we try to follow is that, in any round, the total additional funds that we request from our libraries should be *less* than what they would currently be paying for the subscription journals that we are flipping.

In the round that is about to go out for a vote, we have two subscription journals and three new society journals (this is the last round of votes where we will accept new or existing OA journals). The two subscription journals cost, at present, \$417.00 in total per institution. The cost for all five to be published at OLH (including the two ones that are subscription at present) is just \$305. (These figures are for our largest institutions; mid-tier pay half this; the smallest institutions are frozen this year at their current rate.)

Here’s a totally superfluous graph to illustrate this:



Why wouldn’t institutions say yes to this? Look a saving of over \$100 and you still get those two journals and three more! And they’ll all be open access!

Well, there are actually a number of factors that make this harder than it might seem to pull off. This is why we put it to a library vote, to ascertain whether we’ve got it right. Some of these factors include:

- Not all institutions will subscribe to both of the subscription journals. It is possible they subscribe to neither journal. In this case, we are asking them to front \$305.00 that they are not currently paying. It's still a good deal, but it's extra money.
- The rate of growth here is not insubstantial compared to the current rate that universities pay us. In percentage terms, it's quite high. This is something that frustrates me, though. If we ask for a 10% increase, for example, in fees, it's not the same as a large publisher asking the same. If you spend, say, \$2m with a specific publisher and they ask for a 10% increase, that's a *lot* of money (\$200,000), especially if that publisher makes a huge profit already. If you're spending \$2k with us and we ask for 10% (\$200) it's not really in the same ballpark! Yet institutions have asked us to give a percentage indication on the current budget.

These are the kind of challenges that we face at the moment in flipping subscription journals. The model that we use contains good theoretical returns. The pragmatics of implementing them are much more difficult and political, though. Our library board votes always make me nervous.

I really hope that our libraries will vote to accept these journals; they are all solid and academically rigorous journals in their fields. But we can't say for certain how the library board will vote. So far, we've had 95% or so in favour on every round. Will it be the same this time? The vote will be going out soon. Wish us luck!